

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET A — FOUNDATION & CORE CONCEPTS****CHAPTER 09: THE PRICE PUZZLE: WHAT DRIVES THE MARKET**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-A-09

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET A - Foundation & Core Concepts):

1. The question paper comprises **25 Multiple Choice Questions** of **1 mark each**.
2. All questions are compulsory. There is no negative marking for incorrect answers.
3. Each question offers four options: **(A), (B), (C), and (D)**. Select the single best answer.
4. Darken the corresponding circle on the **OMR Sheet** completely using a blue/black ballpoint pen.

Q.1 In economics, what is a 'market'?

- (A) Any institutional arrangement or mechanism where buyers and sellers interact to exchange goods and services at agreed prices
- (B) Only a physical open-air roadside bazaar with vegetable carts
- (C) A government warehouse where free rations are stored
- (D) A bank vault where paper currency is stored

Q.2 The economic 'Law of Demand' states that, assuming all other factors remain constant (ceteris paribus):

- (A) When the price of a good increases, the quantity demanded decreases (inverse relationship)
- (B) When the price of a good increases, the quantity demanded increases
- (C) Price and quantity demanded have no relationship whatsoever
- (D) Consumers always purchase exactly the same quantity regardless of price

Q.3 A graphical representation of the relationship between the price of a good and the quantity demanded is called the Demand Curve, which typically slopes:

- (A) Downward from left to right
- (B) Upward from left to right
- (C) Vertically straight up
- (D) Horizontally flat

Q.4 The economic 'Law of Supply' states that, other things remaining equal:

- (A) Producers offer more of a good for sale as its market price rises (direct relationship)
- (B) Producers offer less of a good as its price rises
- (C) Supply never responds to market prices
- (D) Supply is determined exclusively by consumer mood

Q.5 A normal Supply Curve plotted on a graph with price on the vertical axis and quantity on the horizontal axis typically slopes:

- (A) Upward from left to right
- (B) Downward from left to right
- (C) Horizontally flat
- (D) Downward vertically

Q.6 The point on a market graph where the demand curve intersects the supply curve is called the:

- (A) Market Equilibrium
- (B) Monopoly Point
- (C) Scarcity Trap
- (D) Inflection Point

Q.7 The price at which the quantity of a good demanded by consumers exactly equals the quantity that producers are willing to supply is the:

- | | |
|---|--------------------------------|
| (A) Equilibrium Price (Market Clearing Price) | (B) Maximum Retail Price (MRP) |
| (C) Floor Price | (D) Support Price |

Q.8 What happens in a competitive market if the prevailing market price is set ABOVE the equilibrium price?

- | | |
|--|---|
| (A) Quantity supplied exceeds quantity demanded, resulting in an excess supply (Surplus) | (B) Quantity demanded exceeds quantity supplied, creating a severe shortage |
| (C) All production immediately stops completely | (D) Consumers rush to buy all available goods |

Q.9 How does a competitive market naturally eliminate an unsold surplus of goods?

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|--|--|
| (A) Sellers cut prices to clear unsold stock, which encourages consumer demand until equilibrium is restored | (B) Sellers raise prices even higher to make up for losses |
| (C) The government confiscates all unsold goods and throws them into the ocean | (D) Consumers are legally forced to buy double their normal amount |

Q.10 If the prevailing market price is set BELOW the equilibrium price, what market condition occurs?

- | | |
|---|---|
| (A) Quantity demanded exceeds quantity supplied, creating an excess demand (Shortage) | (B) Quantity supplied exceeds quantity demanded, creating a massive surplus |
| (C) Producers flood the market with free products | (D) Market equilibrium is reached instantly |

Q.11 In a free market, how does a shortage naturally get resolved through the price mechanism?

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|---|---|
| (A) Buyers bid up the price, and the rising price encourages producers to expand output until equilibrium is restored | (B) Prices fall to zero |
| (C) All factories are closed down permanently | (D) Sellers stop producing goods completely |

Q.12 Two goods are said to be 'Substitute Goods' if:

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|--|---|
| (A) They satisfy similar needs and can be used in place of each other (e.g., tea and coffee) | (B) They must always be consumed together simultaneously (e.g., car and petrol) |
| (C) One is poisonous and the other is healthy | (D) They are produced in completely different countries |

Q.13 If the price of tea rises substantially while the price of coffee stays constant, what will most likely happen to the demand for coffee?

- | | |
|--|---|
| (A) The demand for coffee will increase as consumers switch away from more expensive tea | (B) The demand for coffee will fall to zero |
| (C) No change will occur in the coffee market | (D) Coffee producers will burn their harvests |

Q.14 Two goods are called 'Complementary Goods' if:

- | | |
|--|---|
| (A) They are consumed together to satisfy a joint need (e.g., ink and fountain pen, or car and petrol) | (B) They compete fiercely with each other in advertisements |
| (C) One is given away for free with every purchase | (D) They are produced exclusively by state monopolies |

Q.15 If the price of petrol increases dramatically, what will likely happen to the demand for large petrol-guzzling cars?

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| (A) The demand for petrol cars will decrease | (B) The demand for petrol cars will double |
| (C) The price of cars will rise to infinity | (D) Every citizen will immediately buy three cars |

Q.16 What generally happens to the demand for normal goods when consumer household incomes rise during an economic boom?

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|---|---|
| (A) The demand for normal goods increases, shifting the demand curve to the right | (B) The demand for normal goods falls to zero |
| (C) Consumers stop eating food completely | (D) The demand curve shifts to the left |

Q.17 How does a technological breakthrough that significantly lowers manufacturing costs affect the supply of laptops in the market?

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|---|---|
| (A) Supply increases at every price level, shifting the supply curve to the right | (B) Supply decreases, shifting the supply curve to the left |
| (C) Producers stop making laptops completely | (D) Laptop prices rise to record highs |

Q.18 If a severe drought destroys half the national onion harvest, what will happen to the market price and quantity of onions?

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|--|--|
| (A) Supply decreases (shifts left), causing the equilibrium price to rise and equilibrium quantity to fall | (B) Supply increases, causing price to drop to near zero |
| (C) Demand increases, causing farmers to give away free onions | (D) Prices remain completely unchanged |

Q.19 What is a 'Price Ceiling' imposed by a government?

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|--|---|
| (A) A legally mandated maximum price above which sellers cannot charge (e.g., on essential medicines or wheat) | (B) A legally mandated minimum price below which goods cannot be sold |
| (C) The price of painting the ceiling of a house | (D) A tax placed on imported gold |

Q.20 What is a 'Price Floor' (such as the Minimum Support Price - MSP for farmers in India)?

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|---|---|
| (A) A legally enforced minimum price below which buyers or market traders cannot purchase a commodity | (B) A maximum ceiling on supermarket prices |
| (C) The lowest floor in a shopping mall | (D) A discount code provided on online apps |

Q.21 The responsiveness or sensitivity of the quantity demanded of a good to a change in its price is termed:

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|--------------------------------|----------------------|
| (A) Price Elasticity of Demand | (B) Marginal Revenue |
| (C) Gross Capital Formation | (D) Fiscal Deficit |

Q.22 Essential life-saving goods (such as insulin for a diabetic patient or table salt for cooking) generally have demand that is:

- | | |
|---|------------------------|
| (A) Inelastic (quantity demanded changes very little even when price rises) | (B) Perfectly elastic |
| (C) Zero demand | (D) Infinitely elastic |

Q.23 In a market characterized by 'Perfect Competition', what is a key feature regarding sellers and products?

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|--|---|
| (A) Many buyers and sellers trading identical (homogeneous) products, with no single firm able to influence the market price | (B) A single giant corporation that controls 100% of all output and dictates prices |
| (C) Only two firms competing through television ads | (D) Complete prohibition on buying goods with cash |

Q.24 A market structure where a single seller controls the entire supply of a good or service with no close substitutes is known as a:

- (A) Monopoly (B) Perfect competition
(C) Monopsony (D) Duopoly

Q.25 What is the famous metaphor coined by economist Adam Smith in 1776 to describe how individuals pursuing self-interest in a competitive market promote societal welfare?

- (A) The 'Invisible Hand' (B) The Iron Fist
(C) The Magic Wand (D) The Golden Touch

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET A)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET A)

Q. No.	Correct	Curricular Reference & Conceptual Rationale
Q.1	(A)	A market is any framework (physical, electronic, or telephone) that facilitates exchange between buyers and sellers.
Q.2	(A)	The Law of Demand states that higher prices lead to lower quantity demanded, and lower prices lead to higher quantity demanded.
Q.3	(A)	The demand curve slopes downwards from left to right, reflecting the inverse relationship between price and quantity demanded.
Q.4	(A)	The Law of Supply states that higher prices incentivize producers to supply larger quantities to maximize profits, yielding an upward-sloping supply curve.
Q.5	(A)	The supply curve slopes upwards from left to right because higher prices encourage sellers to increase output.
Q.6	(A)	Market equilibrium occurs where the quantity demanded equals the quantity supplied at a mutually agreed price.
Q.7	(A)	The equilibrium price balances quantity demanded and supplied, clearing the market without shortages or surpluses.
Q.8	(A)	At a price above equilibrium, producers want to sell more than consumers want to buy, creating an unsold surplus.
Q.9	(A)	Sellers competing to unload excess inventory discount their prices, which stimulates buying and contracts supply until equilibrium is restored.
Q.10	(A)	When price is below equilibrium, goods are cheap and desired in large quantities, but producers supply less, resulting in a shortage.
Q.11	(A)	Frustrated buyers offer higher prices, signalling producers to expand output, which rations demand until equilibrium is reached.
Q.12	(A)	Substitutes can replace one another; an increase in the price of tea typically increases the demand for coffee.
Q.13	(A)	Because tea and coffee are substitutes, consumers switch to relatively cheaper coffee, shifting its demand curve to the right.
Q.14	(A)	Complementary goods are used together; a rise in the price of petrol reduces the demand for cars.
Q.15	(A)	Higher petrol operating costs reduce the overall willingness of consumers to purchase petrol cars.
Q.16	(A)	For normal goods, higher household purchasing power shifts the demand curve to the right as people consume more.
Q.17	(A)	Cost-saving technology reduces unit production expenses, encouraging producers to supply more at each price level (rightward supply shift).
Q.18	(A)	A crop failure contracts supply (shift left), leading to shortages that push the equilibrium price sharply upwards.
Q.19	(A)	A price ceiling sets a legal maximum price to protect low-income consumers, often set below equilibrium on essentials like medicines.
Q.20	(A)	A price floor (like MSP) sets a minimum price above equilibrium to guarantee agricultural producers fair returns against market crashes.
Q.21	(A)	Price elasticity of demand measures the percentage change in quantity demanded divided by the percentage change in price.

Q. No.	Correct	Curricular Reference & Conceptual Rationale
Q.22	(A)	Necessities lack close substitutes; consumers must purchase them regardless of price hikes, making demand price-inelastic.
Q.23	(A)	Under perfect competition, numerous small buyers and sellers trade standardized goods, so everyone is a price-taker.
Q.24	(A)	A monopoly exists when a single producer dominates the market and exercises pricing power due to high barriers to entry.
Q.25	(A)	Adam Smith described the 'Invisible Hand' of market prices, where individual self-interest unwittingly guides resources to their highest-valued social use.